OVERVALUED

VERANDA LEARNING SOLUTIONS LTD — VALUATION CHECK

NSE: VERANDA | Sector: Consumer Discretionary — E-Learning | CMP: Rs. 247 | Date: 04-Jul-2026

CMP Rs. 247 trades at a 36% premium to our Base Case Fair Value of Rs. 181 — OVERVALUED.
Below Rs. 154, the stock begins to offer a 15% margin of safety versus our Base Case Fair Value of Rs. 181.
Below Rs. 77, the stock offers a 57% margin of safety versus our Base Case Fair Value of Rs. 181 (requires a 69% decline from CMP — a full demerger failure / promoter pledge invocation scenario).

FAIR VALUE BAND

Bear Case: Rs. 96 | Base Case: Rs. 181 | Bull Case: Rs. 292 | CMP: Rs. 247

Metric	Current	Implied at Base FV (Rs.181)	Peer Median
P/E (TTM reported)	50.5x	37x (on clean EPS ~Rs.5)	28.6x (JARO)
EV/EBITDA (FY26A)	13.5x	9.6x	17.5x (JARO)
P/B	2.48x	1.82x	N/A
ROCE	12.8%	12.8%	40.2% (JARO)
ROE	7.75%	7.75%	40.6% (JARO)
Debt / Equity	0.40x	0.40x	0.35x (JARO)
Historical EV/EBITDA band	N/A (loss FY21-23)	N/A	N/A

Source: Screener.in, 04-Jul-2026. Historical P/E/EV-EBITDA band unavailable — company loss-making FY21-FY25.

SECTION 2 — SECTOR CLASSIFICATION & METHODOLOGY

- **Sector / Sub-sector:** Consumer Discretionary — EdTech — Test Preparation (Commerce CA + Govt Exams + K-12).
- **Primary method: SOTP (Sum-of-Parts), 70% weight.** VERANDA is actively demerging its JK Shah commerce vertical (listed separately, ~Aug-26). Applying a single blended EV/EBITDA to the consolidated entity would obscure the quality differential: JK Shah earns 53% EBITDA margins (vs govt test prep at ~7-10%); using one multiple understates commerce and overstates govt segment. SOTP is the only methodology that prices these correctly.
- **Cross-check: EV/EBITDA on consolidated FY26A, 30% weight.** Applied to reality-check the SOTP; useful as a downside anchor if the demerger is delayed or priced at a disappointment. The divergence between SOTP and EV/EBITDA is Rs. 70/share — explained by the SOTP correctly assigning a premium to the JK Shah franchise.
- **Why not P/E?** FY26 reported P/E of 50.5x is distorted by a Rs. 133.38 Cr one-time divestment gain (= 103% of reported PAT). Clean underlying EPS is near zero. P/E is uninformative here.
- **Holding horizon:** 6-18 months (default), with the JK Shah listing (~Aug-26) as the primary catalyst within the first 2 months.

SECTION 3 — VALUATION METRICS SNAPSHOT

Note on historical band: VERANDA is a 2021 listing that was loss-making through FY25. No meaningful P/E or EV/EBITDA historical band exists. Relative valuation is anchored on peers (JARO, PWL) and absolute method (SOTP). The first full year of positive EBITDA (FY26) is itself distorted by DA normalisation and one-time gains. FY26A is used as the EBITDA base — but analysts should treat it as a run-rate proxy, not an anchor for a multi-year band.

SECTION 4 — PRIMARY METHOD: SOTP (SUM-OF-PARTS)

• **SOTP rationale:** VERANDA's JK Shah Commerce Education demerger is approved by shareholders (Apr-26) and NCLT approval is pending (expected Jul-26; listing mid-Aug-26). Post-listing, VERANDA shareholders will hold shares in both (a) JK Shah Commerce Education Ltd and (b) a rump VERANDA entity (govt test prep + K-12). These must be valued separately.

• **Total shares outstanding:** 9.617 Cr (Equity Capital Rs. 96 Cr / FV Rs. 10). Debt allocation assumed: Rs. 225 Cr to JK Shah, Rs. 150 Cr to remaining VERANDA (actual allocation not yet disclosed; based on Rs. 382 Cr total).

Part	FY26A EBITDA	Base Multiple	EV	Less Debt	Equity Value	/Share
JK Shah Commerce Education	Rs.176.5 Cr	12.0x	Rs.2,118 Cr	Rs.225 Cr	Rs.1,893 Cr	Rs.197
Remaining VERANDA (Govt+K12)	Rs.12 Cr (est.)	6.0x	Rs.72 Cr	Rs.150 Cr	Floor Rs.0 + Rs.5 platform	Rs.5
TOTAL SOTP (Base)						**Rs.202**

JK Shah comparable: JARO Institute — 40.2% ROCE, 31% OPM, trades at 17.5x EV/EBITDA. JK Shah has higher margin (53%) but smaller scale — discount to 12x warranted. Remaining VERANDA comparable: commoditised coaching, 6x appropriate.

JK Shah multiple justification (Base: 12x):

• JARO Institute (closest listed comp) trades at 17.5x EV/EBITDA with 40.2% ROCE and 31% EBITDA margin.

• JK Shah FY26 EBITDA margin = 53% and EBITDA of Rs. 176.5 Cr — superior quality. However, JK Shah is a new listing (smaller market, less institutional coverage) → 30% discount to JARO = 12.3x → rounded to 12x.

• Bull case applies 16x (JARO parity given EBITDA quality) on FY27E Rs. 200 Cr. Bear case applies 9x (new-listing discovery discount + CA exam headwinds) on Rs. 150 Cr.

SECTION 5 — CROSS-CHECK: EV/EBITDA (CONSOLIDATED, FY26A)

Item	Value
FY26A Consolidated EBITDA	Rs. 165 Cr
Fair EV/EBITDA multiple applied	10.0x (peer discount for governance, earnings quality)
Implied Fair EV	Rs. 1,650 Cr
Less: Consolidated Debt (FY26A)	Rs. 382 Cr
Fair Equity Value	Rs. 1,268 Cr
Shares outstanding	9.617 Cr
Fair Value per share (EV/EBITDA)	**Rs. 132**

• **Multiple rationale — 10x applied (vs peer median 17.5x at JARO):** Discount justified by: (1) promoter holding collapsed to 33.8%, pledged 30.4% — governance risk premium; (2) earnings distorted by one-time items; (3) EV/EBITDA on consolidated blends both high-quality and low-quality segments unfairly.

• **Divergence — SOTP Rs. 202 vs EV/EBITDA Rs. 132 = Rs. 70 gap (35%):** The gap is explained by SOTP correctly applying a premium multiple to JK Shah's 53% margin business vs a blended 10x on the whole entity. Given the demerger is near-certain and imminent, I weight SOTP 70% as the more informative methodology.

• **Weighted Fair Value = Rs. 202 × 0.70 + Rs. 132 × 0.30 = Rs. 141 + Rs. 40 = Rs. 181/share (Base Case).**

SECTION 6 — PEER COMPARISON

Company	CMP (Rs.)	MCap (Cr)	P/E	EV/EBITDA	ROCE%	ROE%	D/E
Veranda (VERANDA) *	247	2,378	50.5x*	13.5x	12.8%	7.75%	0.40x
Physicswallah (PWL)	130	37,758	N/A	62.6x	4.0%	-0.5%	0.23x
Jaro Institute (JARO)	510	1,135	28.6x	17.5x	40.2%	40.6%	0.35x

*Source: Screener.in, 04-Jul-2026. *VERANDA P/E = 50.5x is inflated by Rs.133.38 Cr one-time divestment gain in FY26; clean P/E is undefined (near-zero underlying earnings). JARO data up to FY24.*

SECTION 7 — FAIR VALUE BAND: BEAR / BASE / BULL

Scenario	Key Assumption	SOTP /sh	EV/EBITDA /sh	Blended FV	Upside vs CMP
BULL	JK Shah 16x × Rs.200 Cr EBITDA; EV/EBITDA 14x × Rs.185 Cr	Rs.319	Rs.230	**Rs.292**	+18%
BASE	JK Shah 12x × Rs.176.5 Cr EBITDA; EV/EBITDA 10x × Rs.165 Cr	Rs.202	Rs.132	**Rs.181**	-27%
BEAR	JK Shah 9x × Rs.150 Cr EBITDA (NCLT delay + CA headwinds); EV/EBITDA 7x × Rs.120 Cr	Rs.117	Rs.48	**Rs.96**	-61%

Key swing factor — JK Shah listing price:

• If JK Shah lists at 17x EV/EBITDA (Jaro parity): JK Shah MCap ~Rs. 3,000 Cr. VERANDA shareholders' slice = Rs. 285-310/share. Stock looks undervalued.

• If JK Shah lists at 12x (base): VERANDA shareholders' slice = Rs. 197-210/share. Rest of VERANDA adds Rs. 5. Fair Value ~Rs. 202 on SOTP alone — stock still OVERVALUED at Rs. 247.

• If NCLT rejects or demerger delays: JK Shah remains consolidated; EV/EBITDA at 10x is the anchor → Fair Value Rs. 132. Stock meaningfully OVERVALUED.

• The only unambiguously cheap scenario is JK Shah listing at >15x with smooth execution, AND the stock remaining at or below Rs. 247 at listing date — a conditional call, not a standing one.

SECTION 8 — VERDICT & MARGIN OF SAFETY

VERDICT: OVERVALUED
CMP Rs. 247 trades at a 36% premium to our Base Case Fair Value of Rs. 181 (blended SOTP 70% + EV/EBITDA 30%).

Below Rs. 154, the stock begins to offer a 15% margin of safety versus our Base Case Fair Value of Rs. 181.
Below Rs. 77, the stock offers a 57% margin of safety versus our Base Case Fair Value of Rs. 181 (deep value trigger — requires a 69% fall from CMP; this is the full-demerger-failure / pledge-invocation scenario).

What would flip this verdict to FAIRLY VALUED or better:

- **JK Shah lists at Rs. 300+/share equivalent (17x+ EV/EBITDA, Jaro parity):** VERANDA shareholders receive JK Shah stock worth Rs. 300+/share; the remaining VERANDA business is then effectively free. Verdict would flip to UNDERVALUED.
- **Stock corrects to Rs. 154-175 before the JK Shah listing:** At Rs. 154, SOTP base FV Rs. 181 already provides a 15% margin of safety. This is the practical ACCUMULATE zone.
- **Promoter pledge resolved (holding >40%, pledge <10%):** Would remove the biggest governance discount and could re-rate the stock toward Bull case multiples even at current CMP.
- **Govt test prep segment returns to growth (>Rs. 150 Cr revenue in FY27):** Would increase consolidated EBITDA and reduce dependence on JK Shah as the sole value driver. Would lower the risk of the Bear scenario.
- **Investment horizon reminder:** 6-18 months default. The JK Shah listing (Aug-26) is a binary event within this horizon that dominates all other considerations.